destined to be taken to the cleaners by stockbrokers feeding off their vulnerability.

Investment philosophies from the legends

> ‘An investment in knowledge pays the best interest.’
>
> —Benjamin Franklin (1706–90)

So, if we leave the punters behind and listen to those who have methodically thought through how to stay patient and make a great deal of money in the stock market, what can we learn?

In Berkshire Hathaway’s 2007 letter to shareholders,[2] Warren Buffett explains that the kind of companies he likes to invest in are ‘companies that have a) a business we understand; b) favourable long-term economics; c) able and trustworthy management; and d) a sensible price tag. A truly great business must have an enduring “moat” that protects excellent returns on invested capital. The dynamics of capitalism guarantee that competitors will repeatedly assault any business “castle” that is earning high returns. Business history is filled with “Roman Candles”, companies whose moats proved illusory and were soon crossed. Our criterion of “enduring” causes us to rule out companies in industries prone to rapid and continuous change. Though capitalism’s “creative destruction” is highly beneficial for society, it precludes investment certainty. A moat that must be continuously rebuilt will eventually be no moat at all. Long-term competitive advantage in a stable industry is what we seek in a business’.

On the subject of *For how long should an investor hold the shares they buy*, Warren Buffett, in 1988’s Berkshire Hathaway’s letters to shareholders stated, ‘When we own portions of outstanding businesses with outstanding managements, our favourite holding period is forever. We are just the opposite of those who hurry to sell and book profits when companies perform well but who tenaciously hang on to businesses that disappoint. Peter Lynch aptly likens such behavior to cutting the flowers and watering the weeds.’